



Week beginning 05 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

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Japan: Current account balance, household spending.

China: Foreign reserves, M2 money supply.

Euro Area: Sentix investor confidence, retail sales.

United States: FOMC Meeting Minutes, ISM Services PMI, University of Michigan Sentiment Index.

Global: S&P Global PMIs.

Information contained in this report current as at 05 October 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

RBA hikes in September, November follow-up now expected



Luci Ellis
Chief Economist, Westpac Group

As was universally expected, the RBA Monetary Policy Board (MPB) lifted the cash rate by 25bps to 4.6% at its September 2026 meeting.

This is quite the turnaround from the [11 August meeting](#), where an extended period on hold looked to be the base case. At that time, the data had broken against the RBA's more hawkish view, and its published forecasts did not support further hikes. But the MPB can now point to the emergence of some of the upside risks to inflation it warned of in August.

The post-meeting statement was notable for its emphasis on the Middle East conflict, noting that "global energy prices are now much higher than had been assumed in the August forecasts" – "much higher" is stronger language than one normally sees in an RBA statement. The RBA's liaison indicates that firms are passing this on or planning to do so. The pass-through was characterised as partial, and additional to domestically driven inflation arising from capacity pressures. We read this as implying that the RBA is concerned about upside risks to underlying inflation in Q4 of this year, as well as Q3.

The RBA is also wary about pressure on both construction costs and retail prices of IT goods arising from the AI/data centre boom, although in the media conference, the Governor clarified that risks there were building rather than materialising. The broader background highlighted in the Governor's opening statement to the media conference, is of demand outstripping supply. The statement evidenced this by noting the stronger July CPI and June quarter GDP results than expected.

The accompanying statement was notable for the absence of language about the labour market being a little tight, despite this being the inter-meeting message from the Governor and other staff (see, for example, the Governor's [opening statement](#) on 18 September) and the language in the post-meeting media conference. Views clearly differ on this: we [note](#) that the Treasury forecasts underlying the May budget and the recent Intergenerational Review imply both more spare capacity in the labour market (a lower NAIRU) and faster growth in potential from wherever the starting point is (higher productivity growth and trend increase in participation). Instead, the post-meeting statement characterised the labour market as easing "broadly as expected", despite the unemployment rate already rising higher than the August SMP forecast of 4.5% for the December quarter.

The decision was unanimous, suggesting that any qualms external MPB members might have had about the RBA's downbeat view of supply capacity were overruled by resurgent oil prices and the stronger than forecast CPI and GDP data.

With upside risks being seen to have emerged, the post-meeting statement language included that the Board "will continue to do what it considers necessary to bring inflation sustainably back to target, including increasing the cash rate target further if needed", a small but meaningful change from the "if upside risks materialise" language from the previous meeting, and back to the tone of the language at the June meeting.

The bar for a follow-up hike in November is low. Indeed, judging by the post-meeting rhetoric, a November hike is now the base case, absent a lasting resolution of the Middle East conflict beforehand, or some other event that significantly lowers the outlook for energy-related costs in Australia. The bar for hikes beyond that is much higher, given the cumulative rise in interest rates, and noting that the labour market is easing and the housing market will likely weaken further.

The August inflation data released the day after the meeting was in line with our expectations. We therefore continue to expect Q3 trimmed mean inflation around 0.9%qtr, too high for the RBA's comfort, and upside risks for Q4. Likewise, there are no implications for our rates view from this week's inflation data.

Forecast changes

- We have updated our financial forecasts to reflect the change in our rate view.
- Our labour market forecasts are unchanged on the first decimal place, but there is some modest upside risk to our unemployment forecast.
- Our updated GDP profile can be found on page 9.

Cliff Notes: searching for signal

Sian Fenner, Head of Business and Industry Economics
Ryan Wells, Economist
Illiana Jain, Economist

In Australia, this week's main event was the RBA Monetary Policy Board's (MPB) decision to [raise the cash rate](#) by 25bps to 4.60%. This outcome was universally expected given Governor Bullock had already communicated that upside risks to inflation had materialised – the conditionality established by the MPB back in August for considering another rate hike.

Governor Bullock made explicit note of three upside risks. The Middle East conflict was emphasised as the risk that had "materialised", given the re-escalation and renewed surge in crude oil and refined product prices over recent months. The RBA's liaison warns this could lead to further pass-through of costs and more persistent inflation pressures. On top of this, domestic capacity pressures and the data centre/AI investment boom were also noted as upside risks that the MPB remain alert to.

In a video update mid-week, [Chief Economist Luci Ellis](#) explains why the bar for a follow-up rate hike in November is low. We now expect a 25bp increase in November, provided there is no sudden resolution of the Middle East conflict beforehand, or some other event that significantly lowers the outlook for energy-related costs.

Subsequently, the [August CPI](#) revealed that underlying (trimmed mean) inflation rose 0.2% (3.4%yr), which was slightly below the market's expectation but spot on Westpac's forecast. As usual, the monthly detail was mixed, but the key drivers of underlying inflation remain centred on housing-related components, particularly rents and new dwelling purchases. Headline inflation remained volatile, with the unwind of the fuel excise cut causing another spike in fuel prices. We have maintained our forecast for a 0.9% lift in trimmed mean inflation in Q3, and with upside risks building for Q4, a follow-up rate hike in November appears most likely.

Regarding the current growth pulse, [household spending](#) surprised with a flat reading in August. Services spend fell back following recent strength that was driven by major sporting events, but this was offset by an increase in goods spend, particularly in fuel and electric vehicles. Together with our latest card data for early September, the consumer spending pulse is shading a touch softer. However, another solid outcome for business investment could once again be on the cards for Q3. August's [goods trade](#) data showcased another significant spike in data centre-related equipment imports, up \$4.3bn, similar in scale to Q1. While clearly import-driven, our modelling suggests that the local economic impact of such investment is likely to be around half of the total investment.

Before moving offshore, a final note on housing. [Cotality's](#) latest update revealed that dwelling prices fell another 1.1% nationally in September. While Sydney and Melbourne have

led the correction to date, the fact that the other capitals are also reporting price declines clearly indicates that the correction is deepening and broadening, as higher interest rates collide with the tax policy changes announced in May's budget. Sentiment effects indeed remain at play, as evinced by the continued pull-back in investor [credit growth](#). Westpac anticipates a peak-to-trough decline of around 7%, with [tight on-market supply](#) limiting the extent of the correction. For more, see our latest [Housing Pulse](#).

Offshore, there was plenty of data to dissect.

In the US, inflation eased in August despite ongoing strength in household demand and higher energy prices. Headline PCE inflation rose 0.3%*mth* and 3.4%*yr*, while core PCE increased 0.2%*mth* and 3.0%*yr*. Encouragingly for the FOMC, the share of PCE components rising by more than 3% over the past year, a measure frequently cited by Fed Chairman Kevin Warsh, declined to 45% from 49%, suggesting some easing in broad-based inflation pressures. At the same time, household spending remained robust, increasing 0.9%*mth*, equivalent to around 0.6%*mth* in real terms. That said, personal income growth was soft, rising 0.2% in the month, signalling households opted to draw down savings.

The ISM manufacturing survey was stronger than the headline suggested. While the index edged down 0.1pt to 54.5, manufacturing has now expanded for nine consecutive months. There were some signs of capacity constraints emerging, with production softened in the month but backlogs up 4.6pts to 56.4, suggesting that firms struggled to keep pace with demand. New orders rose 1.6pts to 55.3, primarily due to domestic demand as new export orders eased, backlogs increased. Firms responded by lifting employment, 1.5pts to 52.7. Against this backdrop manufacturers saw a renewed acceleration in cost pressures, with the prices paid index jumping 6.8pts to 77.9. Firms cited higher steel and aluminium prices, elevated energy costs, rising freight charges and ongoing semiconductor shortages, with every major industry reporting higher input costs during the month.

The past week's data will have done nothing to bridge the clear divide across the FOMC, as evident in this week's busy FedSpeak. Some participants argued for further rate hikes, citing strong inflation, diminished supply capacity and policy that is not yet restrictive. Others counselled patience, pointing to progress on inflation and that September's hike buys time to assess upcoming data. The one thing both agree on is that inflation will be the primary determinant of the timing and extent of further rate hikes. Our view remains that one further hike is likely this cycle to bring policy closer to neutral.

In China, policymakers announced another round of targeted support measures aimed at stabilising growth and supporting the struggling property sector. The PBOC lowered rates on its Pledged Supplementary Lending facility by 25bps to 1.5% and expanded quotas for targeted lending programs. Authorities also introduced subsidies for eligible first-home buyers. The subsidy applies to homes with a floor area of 120m² or less and a value below CNY1.5mn, with support capped at 1ppt of mortgage costs, up to CNY10,000 and for a maximum term of five years. The measures complement reforms announced in August to improve developer financing conditions and support housing completion. However, weak credit demand and confidence remains a significant constraint, suggesting policy transmission is still limited.

The September PMI data pointed to a modest improvement in activity, although the details were less convincing. Manufacturing returned to expansionary territory, rising 0.9pts to 50.1, supported by stronger production and new orders. Much of the improvement, however, reflected a rebound in prices, with the raw materials price index rising 7.6pts and producer prices increasing 6.2pts. Labour market conditions remained weak, with the employment index falling a further 0.6pts and remaining below 50 for almost four years. Conditions in the non-manufacturing sector also improved, with the services PMI lifting from 49.0 to 50.2, driven largely by stronger construction activity. Input and output prices moved higher, selling prices returned back above 50, export orders improved to 48.5 and employment increased 0.5pts, although at 45.9 it remains firmly in contractionary territory. Overall, the surveys suggest activity is stabilising and policy support is gaining some traction, but weak labour demand, subdued credit growth and soft domestic demand indicate the recovery remains fragile.

In Japan, the September Tankan survey delivered another constructive signal on the economy and reinforced the case for further policy normalisation. Business conditions improved by 2pts for large manufacturers and 5pts more broadly, while profitability indicators strengthened and capital expenditure intentions remained elevated. Large manufacturers expect fixed investment to increase by 11.6% in FY2026, while large non-manufacturers expect investment growth of 11.2%, pointing to continued confidence in the medium-term outlook.

Capacity indicators improved further across both manufacturing and non-manufacturing sectors, with measures of excess production capacity becoming less negative and indicating that demand remains sufficiently strong to keep pressure on existing capacity. Labour shortages also intensified, with employment conditions becoming more negative across most industries and firm sizes, pointing to a progressively tighter labour market. Inflation expectations remained anchored around 2%, providing further evidence that Japan is moving towards a more sustainable inflation environment. Overall, the survey was consistent with an economy operating close to capacity and supports the view that a December rate hike remains a realistic possibility.

Resilient activity and simmering inflation



Satish Ranchhod
Senior Economist

While bumpy and uneven, New Zealand's economic recovery has continued over the past few months, with activity showing resilience in the face of continued global headwinds. Under the surface, however, inflation pressures are bubbling away, with much of that pressure centred on parts of the economy that aren't sensitive to interest rates.

Economic activity getting back on firmer footing

Looking first at recent activity data, the economy has been finding its feet again after taking a knock in the wake of the Middle East war. That has been seen most clearly in the jobs market, with the number of filled jobs rising by 0.9% in the year to August. While not shooting the lights out, that is still a noticeable improvement from the early part of the year, when filled job numbers were falling.

Under the surface, it's still a very mixed picture. Agriculture remains the main engine of growth, with the strength in commodity export earnings helping to boost incomes, confidence and spending in regions with strong rural backbones. That's supported firm job growth in regions like Canterbury (where filled job numbers are up 1.9% over the past year), Otago (+1.5%) and Southland (+3.1%). In contrast, jobs growth remains much more moderate in Auckland (up 0.6%) and Wellington (up just 0.4%). That town-and-country split is likely to remain a feature of the economic landscape for some time yet.

Looking ahead, businesses expect trading conditions to remain resilient through the final months of the year. That was reflected in September's Business Outlook survey. While the survey's gauges of expected business activity and general business confidence eased over the past month, they remain at firm levels, consistent with continued moderate growth through the latter part of the year. That resilience has also been evident in the household sector, with consumer confidence largely steady through September.

The resilience in household and business sentiment is notable, as fuel prices have taken a big step higher over the past month. The average price of 91 unleaded has risen by around 49c/litre – albeit late in the month and likely not fully reflected in surveyed confidence – taking it back to the levels seen during the early stages of the Middle East conflict. Those higher fuel prices have taken a bite out of household disposable incomes, with spending on fuel up about 22% compared with this time last year, even though the volume of fuel sold is down around 11%.

But even with the lift in fuel prices, we haven't seen the same degree of pessimism as earlier in the year, when fuel prices first spiked. Notably, those higher fuel prices haven't spilled over into a broader lift in output price pressures either (at least at this stage). Inflation expectations were steady in September's household and business surveys. Similarly, the number of firms planning to raise prices fell back despite a lift in wage and cost expectations. However, while that stability in pricing gauges is welcome, measures of inflation pressure remain elevated.

Taken together, recent data reinforce indications that the economy is shaking off the impacts of the Iran war.

Persistent inflation drivers and the RBNZ

Turning to inflation, the spike in oil prices earlier this year saw annual inflation climb to 4.1% in the year to June. With local fuel costs rising again in recent weeks, we continue to expect inflation to remain above 3% until at least mid-2027.

However, even before the recent rise in fuel costs, inflation had been running hot for an extended period. Excluding the rise in food and fuel prices, inflation in the year to June was 2.9%, and it's been running close to or above 3% for five years now.

As we discuss in our recent [report](#), much of the strength in inflation over the past year has been related to administered costs, such as local council rates, or to sectors that are less exposed to competitive pressures, such as electricity and insurance. Those increases have persisted for an extended period, and we expect further sizeable increases in many of these costs.

This ongoing firmness is a key reason why we expect domestic (non-tradables) inflation to be higher than the RBNZ expects over the longer term. It's also part of the reason why we expect the RBNZ will ultimately need to raise the OCR by more than it assumed in its September policy statement. We are forecasting a 25bp rate rise at the RBNZ's December meeting and expect the OCR to peak at 4% next year.

This is a tough environment for the RBNZ. With ongoing increases in administered prices boosting core inflation at a time when energy prices are driving headline inflation well above the target range, it's hard for the RBNZ to look through them. The RBNZ had little headroom to absorb upside inflation surprises, even before the recent spike in oil prices.

But getting inflation back to target in the face of an oil price spike and high administered prices will not be easy and involves some tough trade-offs. Administered prices tend to be less responsive to changes in economic conditions. As a result, interest rate hikes are likely to have a bigger impact on parts of the economy that are not the main drivers of inflation. Tighter policy will also weigh on the labour market and near-term growth, while increasing households' debt-servicing costs.

This is an uncomfortable but necessary trade-off. Looking through, or not responding to, these sorts of large and persistent cost increases would still leave households facing significant increases in overall living costs. In the long run, it would be more damaging for households and the economy if generalised inflation were to become embedded in price setting behaviour.

The Kiwi has lost its wings

Adding to near-term inflation risks has been the drop in the NZ dollar. On a trade-weighted basis, the Kiwi has fallen around 4% since the start of September, and it's begun the December quarter around 4% below the level the RBNZ assumed in its September policy statement.

The slide in the Kiwi is mainly due to the strength of the US dollar, with NZD/USD down nearly 5% since the start of September to sit just below 0.56 at the time of writing. Moves against other currencies have been more modest. For example, NZD/AUD is down 2% over the same period.

Technically, NZD/USD seems oversold. In the short term, trends in the US dollar will dominate, including any response to the US labour market report due on Friday evening. Any turnaround in the USD would likely see NZD/USD trade back towards the top of the 0.5580–0.5680 range that is governing the pair for the time being.

NZD/AUD will continue to be driven by changing views on interest rate differentials between the RBNZ and RBA. This week, NZD/AUD corrected higher from around 0.8070 to as high as 0.8110 as RBA cash rate expectations were repriced following the RBA Board meeting and Australian CPI. In the short term, the bias for NZD/AUD could be lower, given our view that the RBNZ will pause at its late-October meeting and that the market is under-pricing the risk of an RBA rate hike in November.

Next week's QSBO, due on Tuesday, will be the key event risk, with the inflation and growth gauges closely watched for signs that might prompt the RBNZ to pause or hike. Markets had previously priced in a high chance of a hike at the RBNZ's October meeting, but in recent days appear to be reassessing that view. Pricing for a 25bp hike in New Zealand could be pared back towards a 50:50 call. The 0.8030–0.8150 range is likely to contain the pair in the immediate period ahead. Our medium-term view is for NZD/AUD to rise as the RBNZ increases the OCR to 4% by the second half of 2027. We'll update our views on the NZD and other currencies in our next *Market Outlook*, out Wednesday 14 October.

Fiscal update

The big uncertainty on the domestic horizon is, of course, November's general election, and at this stage the polling looks tight. Neither the established left nor right bloc has a clear majority.

Ahead of the election, the Treasury has released its [Pre-election Economic and Fiscal Update \(PREFU\)](#), updating the Budget 2026 (BEFU) fiscal forecasts to reflect the latest economic and fiscal information and a revised economic outlook. This allows the public to assess the state of the Government's finances. It also provides other parties with a baseline against which to calibrate their spending and taxation policies.

The PREFU revealed a stronger starting point for the Government's finances than had been expected in the Budget.

- A deficit of \$8.6bn is estimated for 2025/26, down from the Budget estimate of \$11.9bn.
- Similarly, the forecast deficit for 2026/27 has been revised down significantly to \$6.8bn from \$11.4bn.
- Thereafter, the OBEGALx deficit is expected to continue declining gradually, moving to a surplus of \$4bn in 2028/29. This broadly follows the Budget profile, but is stronger across the forecast period.
- Net core Crown debt is forecast to peak at 43.9% of GDP in 2027/28, below the 46.1% peak forecast in the BEFU. It's then forecast to decline to 39.5% of GDP by the end of the forecast period in 2030/31, in line with the Government's goal of reducing debt below 40% of GDP over the medium term.

Given the improved outlook, NZDM announced a \$4bn reduction in the 2026/27 bond programme to \$30bn and a \$15bn reduction in the forecast programme across the whole period through to 2029/30.

The medium-term forecasts in the PREFU should be treated with caution. The economic forecasts underpinning the PREFU were finalised on 21 August, when both oil prices and, especially, bond yields were materially lower than they are today. Had the forecasts been finalised more recently, the fiscal projections presented today would have been weaker, at least in the near term. Indeed, the Treasury is upfront in acknowledging that, while the risks are two-sided, the balance is skewed to the downside.

Aside from the obvious uncertainty surrounding the economic outlook because of unpredictable developments in the Middle East, the approaching General Election, and the possibility of a change in the composition of the Government, means the assumptions underpinning the PREFU forecasts could quickly become invalidated.

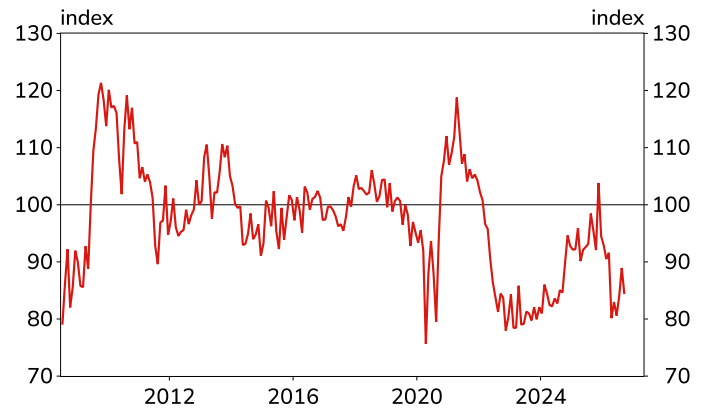
AUS: Oct Westpac-MI Consumer Sentiment (index)

Oct 6, Last: 84.4

Consumer sentiment declined 5.2% to 84.4 in September, taking the index back towards the deeply pessimistic levels seen earlier in the year. Rising fuel prices and fears of an imminent interest rate rise drove the move with a continued weakening in housing markets likely adding to unease in some quarters.

Developments over the last month would have added to these concerns with: the RBA raising the cash rate by 25bps to 4.6% during the survey week; average pump prices pushing above \$2.36/litre nationally and no end in sight to global supply disruptions; and more weak updates on the housing market.

Consumer Sentiment Index



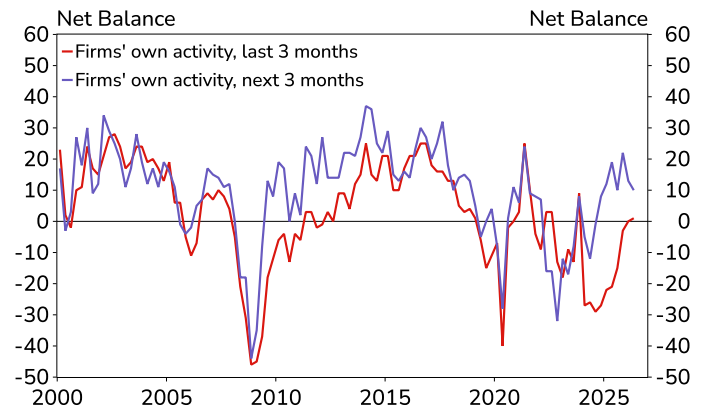
Source: Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

NZ: Q2 NZIER Survey of Business Opinion (index)

Oct 6, General business confidence last: 12.3

Business conditions picked up modestly in the June quarter as concerns about the war in the Middle East eased. However, cost and pricing gauges remained firm. The September quarter survey will be closely watched ahead of the RBNZ's 28 October meeting. Recent weeks have seen signs that activity is firming. However, fuel prices have also risen sharply, and we (along with the RBNZ) will be watching for signs of a broader lift in inflation pressures. The timing of survey responses within the sample period will also warrant scrutiny, given that oil prices rose late in the quarter.

QSB0 past vs expected activity



Source: NZIER, Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 05							
Aus	Sep	MI Inflation Gauge	%ann	4.8	–	–	Lead indicator for CPI inflation shows price pressure rising.
		Labour Day Public Holiday	–	–	–	–	NSW, ACT, SA, Qld (King's Birthday). Markets open.
NZ	Sep	ANZ Commodity Prices	%mth	–0.4	–	–	Agriculture product prices at or near record levels
Eur	Oct	Sentix Investor Confidence	index	5.1	–	–	Sitting at the highest level since February 2022.
	Aug	PPI	%ann	5.8	–	–	Recent strength driven by energy inputs, ex-energy at 3.1%yr.
US	Sep	ISM Services	index	55.4	55.2	–	Regional surveys suggest a milder expansion than last month.
Wrld	Sep	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, UK, Eurozone and the US.
Tue 06							
Aus	Oct	Westpac-MI Consumer Sentiment	index	84.4	–	–	Consumers react to rate rise and softer inflation print.
	Sep	ANZ-Indeed Job Ads	%mth	2.5	–	–	Has been trending higher since end-2025.
NZ	Q3	NZIER Survey of Business Opinion	index	12.3	–	–	Watching for resilience in activity, but upside risks for prices.
Eur	Aug	Retail Sales	%mth	–0.6	–	–	Consumers pulling away from non-food related spending.
US	Aug	Trade Balance	US\$bn	–88.6	–89.8	–	Trade deficit widening amid surging AI-related imports.
Wed 07							
NZ	Sep	GlobalDairyTrade auction	%	–1.1	–	–	WMP and SMP prices up on previous GDT Pulse auction.
Chn	Sep	Foreign Reserves	US\$bn	3438.33	–	–	Weaker dollar and growing trade surplus drives reserves up.
US		FOMC Meeting Minutes	–	–	–	–	Focus will be on assessments on the stance of policy.
	Aug	Consumer Credit	\$bn	18.062	15.000	–	Some consumers may be leaning on credit to fund spending.
Thur 08							
Aus	Oct	MI Inflation Expectations	%ann	4.9	–	–	Higher fuel prices seeing near-term expectations lift.
Jpn	Aug	Current Account Balance	¥bn	2988.9	3194.6	–	Rise driven by higher inbound tourism and dividend inflows.
US		Initial Jobless Claims	000s	197	–	–	Has been easing in recent weeks.
	Aug	Wholesale Inventories	%mth	0.7	–	–	Final estimate.
		Fedspeak	–	–	–	–	Fed's Musalem speaks at Bloomberg event.
Fri 09							
Jpn	Aug	Household Spending	%ann	–3.6	–3.6	–	Discretionary spending falters in the face of higher prices.
Chn	Sep	M2 Money Supply	%ann	7.5	–	–	Credit demand slows as households and firms hold-off.
US	Oct	Uni. Of Michigan Sentiment	index	48.1	48.0	–	Consumers' outlook on the economy souring.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Oct)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.76	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.92	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.89	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.34	5.20	5.10	5.00	4.90	4.85	4.80	4.80	4.80	4.80
10 Year Spread to US (bps)	10	40	35	30	25	15	5	0	-5	-10
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.24	4.80	4.75	4.70	4.65	4.70	4.75	4.80	4.85	4.90
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.22	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.04	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	5.07	4.75	4.90	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	-16	-5	15	30	40	35	30	25	20	15

Exchange rate forecasts

	Latest (2 Oct)	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6941	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5607	0.59	0.61	0.63	0.64	0.65	0.65	0.65	0.65	0.65
USD/JPY	157.71	155	154	153	152	151	150	149	148	146
EUR/USD	1.1259	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3217	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7060	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2357	1.22	1.19	1.16	1.14	1.12	1.12	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	-	-	-	-
%yr end	2.5	2.1	2.1	1.4	1.5	1.4	1.4	1.6	2.6	1.4	1.6	2.5
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	0.5	0.7	0.6	0.7	0.4	-	-	-	-
%yr end	4.1	3.9	3.9	3.7	3.0	3.0	2.5	2.4	3.6	3.7	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.7	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.8	2.7	3.3	3.3	2.7	2.3

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.8	1.1	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.9	1.7	2.1	2.4	2.5	2.7	2.8	2.9	0.3	2.4	2.9	3.1
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.6	0.4	0.4	0.6	0.3	-	-	-	-
Annual change	3.1	4.1	3.7	3.7	3.2	2.1	2.0	1.7	3.1	3.7	1.7	2.1

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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